CASE STUDY 12

CORPORATE REVIEW POLICY – CORPORATE GOVERNANCE AND ETHICS POLICY

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1. Introduction:

About Tata Consultancy Services (TCS)

Tata Consultancy Services (TCS) is a major Indian multinational information technology (IT) services and consulting company. It was established in 1968 and is headquartered in Mumbai, Maharashtra. TCS provides IT services, business solutions and consulting services to customers worldwide.

About the Policy

TCS follows corporate governance principles and ethical business practices to ensure transparency, accountability and fairness. Its governance practices guide directors, management and employees in performing their duties responsibly.

The company's ethical standards help prevent corruption, conflicts of interest and misuse of company resources. They also support legal compliance and protect the interests of shareholders, employees, customers and other stakeholders.

2. Policy Overview:

The main aim of TCS's Corporate Governance and Ethics Policy is to ensure honest, transparent and responsible business operations.

The policy focuses on:

- Maintaining transparency in business activities.
- Promoting honesty and ethical behaviour.
- Ensuring accountability among directors and employees.
- Preventing corruption and unethical practices.
- Protecting shareholder and stakeholder interests.
- Following applicable laws and regulations.
- Encouraging fair and responsible decision-making.
- Maintaining trust among customers and business partners.

TCS promotes ethical business practices through its governance framework and Code of Conduct.

3. Key Provisions:

The important provisions of corporate governance and ethics practices at TCS are:

1. Rules and Guidelines:

The company follows applicable laws, regulations and internal policies to maintain ethical business operations.

2. Transparency:

TCS aims to provide accurate and appropriate information about its financial performance and important business activities.

3. Accountability:

Directors, managers and employees are responsible for their decisions and actions. They must perform their duties honestly.

4. Ethical Behaviour:

Employees are expected to maintain honesty, integrity and professionalism while dealing with customers, colleagues and business partners.

5. Prevention of Corruption:

The company prohibits bribery and other corrupt practices. Employees must follow the company's anti-corruption standards.

6. Conflict of Interest:

Employees should avoid personal interests that may affect their professional decisions. Potential conflicts must be disclosed according to company rules.

7. Protection of Stakeholders:

The company respects the interests of shareholders, employees, customers, suppliers and other stakeholders.

8. Confidentiality and Data Protection:

Employees must protect confidential company information and customer data from unauthorised access or disclosure.

9. Reporting Unethical Activities:

The company provides appropriate mechanisms for reporting suspected misconduct and violations of its ethical standards.

4. Compliance & Governance Analysis:

TCS follows applicable Indian laws, including the Companies Act, 2013, and relevant SEBI regulations for listed companies.

The Board of Directors oversees the company's governance framework. Board committees support the supervision of areas such as auditing, risk management and other governance matters.

The company uses internal controls, audits and compliance procedures to identify risks and prevent misconduct.

Its Code of Conduct guides employees and management in maintaining ethical standards. These measures support transparency, accountability and responsible business management.

5. Policy Evaluation:

TCS's corporate governance and ethics practices have several strengths.

The company promotes transparency, accountability and ethical behaviour. Its governance framework supports compliance with applicable laws and helps protect stakeholder interests.

The Code of Conduct provides guidance for employees on professional behaviour. Internal controls and reporting mechanisms also help identify potential violations.

However, continuous improvement is important. The company should regularly update its ethical guidelines, improve employee awareness and strengthen protection for people who report misconduct.

Regular training and effective monitoring can help maintain high ethical standards.

6. Business Relevance:

Corporate Governance and Ethics Policy is important for TCS because it supports responsible business operations.

The policy helps to:

- Build trust among customers and shareholders.
- Improve transparency in business activities.
- Prevent corruption and unethical practices.
- Protect confidential information.
- Improve employee responsibility.
- Support legal and regulatory compliance.
- Reduce business and reputational risks.
- Improve management decisions.
- Strengthen the company's reputation.
- Support long-term business growth.

Good corporate governance helps TCS maintain customer confidence and develop strong business relationships.

7. Recommendation:

TCS can further strengthen its corporate governance and ethics practices through the following recommendations:

- Conduct regular ethics training for employees.
- Update the Code of Conduct when necessary.
- Strengthen internal audits and compliance checks.
- Provide safe channels for reporting misconduct.
- Investigate complaints fairly and promptly.
- Improve awareness of data protection and privacy.

- Review conflicts of interest regularly.
- Strengthen anti-corruption measures.
- Improve transparency in corporate reporting.
- Monitor the effectiveness of governance policies.

These recommendations can help improve ethical behaviour and strengthen the company's governance framework.

8. Conclusion:

Tata Consultancy Services follows corporate governance principles and ethical business practices to support transparency, accountability and responsible management.

Its governance framework helps protect stakeholder interests, promote ethical behaviour and support compliance with applicable laws. Effective implementation of these practices can reduce business risks and improve public trust.

Regular employee training, strong internal controls and continuous monitoring can further improve the company's corporate governance and ethical standards.

9. References:

1. TCS Official Website: https://www.tcs.com/

2. TCS Annual Reports: https://www.tcs.com/investor-relations

3. Ministry of Corporate Affairs: https://www.mca.gov.in/

4. Securities and Exchange Board of India (SEBI): https://www.sebi.gov.in/